



Setting Up a Franchise

If you want to start off with a ready-made business model and a recognizable brand, you might consider taking on a franchise. Careful research, thorough planning, and available funds are all essential.

Understanding franchises

A franchise is an agreement that authorizes you to start a business selling the products or services of an established brand. You become the franchisee; the established company is the franchisor. Not all arrangements are the same, but they always involve the franchisee paying an initial fee and a percentage on sales (called a royalty) in return for the right to sell a branded product or service.

Fast-food chains—for example, McDonald's—are examples of the most common type of franchise, a “business format franchise.” In these cases, franchisees pay for

the right to establish independent outlets under the franchisor's brand. New outlets will have the same design, menu, and operating systems as all other franchised outlets across a particular region.

Weighing the costs

There are some clear advantages to this type of business. You can benefit from a brand with a loyal customer base, a market-tested product or service, and established logistics. In return for this, you will be expected to make a substantial initial investment and accept that you will be tied to the brand's offerings and infrastructure.

Becoming a franchisee

Before deciding whether to take on a franchise, ask yourself how involved you want to be in the day-to-day running of the business. If you want the franchise to provide you with an income but you want to limit the hours you work or your involvement in the business, then it is important to find a franchisor that will permit this.

Franchisors will have their own expectations, so you need to assess these and make sure you are willing and able to meet them. Careful research, negotiation, planning, and developing good relations with your franchisor are all key to success.

TYPES OF FRANCHISES

There are three main types of franchises, each with a different level of rights and varying business models. All involve a firm financial commitment.

Business format

As a franchisee, you get not only the right to sell an established brand but also a full business system to follow and a support network. This type of franchise is used in mass-consumer areas, such as hair salons and in car repair, plumbing, and cleaning services.

Product

The franchisor grants you the right to sell or distribute a branded product, such as a computer or car, using the manufacturer's trade names, but you do not benefit from the franchisor's business systems. The products you can distribute or sell will be restricted.

Manufacturing

In return for a fee, you acquire the right to manufacture a product and to use associated brand names and trademarks. The product could, for example, be a soft drink, with the drink flavoring ingredients provided by the franchisor.



BE AWARE

- **Start-up costs can be high**, often significantly higher than if you were launching an independent business.
- **Your reputation** will depend on that of the franchisor, so research your franchisor thoroughly. Note that you will be bound by the franchisor's rules and regulations.
- **Consider** your motivations. If your driving force is to create a business in your image and achieve personal goals, then a franchise may not be the answer.